4.3 price discrimination

1. A firm with market power engages in price discrimination to

(A) earn a higher profit

(B) increase consumer surplus

(C) decrease deadweight loss

(D) make its demand more elastic

(E) make its demand more inelastic

2. The price of an airline ticket is typically lower if a traveler buys the ticket several weeks before the flight's departure date rather than on the day of departure. This pricing strategy is based on the assumption that

(A) travelers are not aware of how airline prices change across time

(B) travelers do not have alternative modes of transportation

(C) travelers will pay any price to travel as the departure date approaches

(D) the marginal cost of the last few seats on an airplane is higher than that for the first few seats

(E) travelers' demand becomes less elastic as the departure date approaches

3. Which of the following is true for a price-discriminating firm?

(A) The firm charges different prices to different consumers for the same product.

(B) The firm charges different prices for different products.

(C) The firm pays more per unit of labor than it pays per unit of capital.

(D) The firm pays more per unit of capital than it pays per unit of labor.

(E) The firm sells different quantities to its consumers but charges each of them the same price.

4. If a firm engages in perfect price discrimination, it charges

(A) each customer the highest price the customer is willing to pay

(B) each customer the average cost of the product

(C) each customer the lowest price the customer is willing to pay

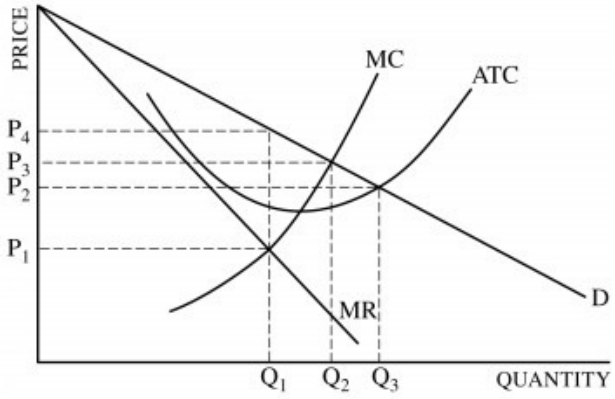
(D) different prices to customers based on how old they are

(E) different prices to customers based on how many units of output they buy

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The following questions refer to the monopoly graph below, where MC = marginal cost, ATC = average total cost, D = demand, and MR = marginal revenue.

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5. If the monopolist could engage in perfect price discrimination, the monopolist's total output and the price charged for the last unit of output sold would be

(A) Q_1 and P_1

(B) Q_1 and P_2

(C) Q_1 and P_4

(D) Q_2 and P_3

(E) Q_3 and P_2

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6. In order for a firm to engage in price discrimi- nation, it must be

(A) able to separate consumers into different groups based on demand elasticities

(B) producing in the inelastic portion of its demand curve to raise its price and increase total revenue

(C) a price taker

(D) experiencing economies of scale in the relevant range of production

(E) experiencing constant marginal cost

7. Which of the following is necessary for a firm to practice price discrimination?

(A) The government strictly enforces antitrust laws.

(B) The firm is a member of a cartel.

(C) The firm can prevent resale of its goods.

(D) The demand curve for the product is perfectly inelastic.

(E) The demand curve for the product is perfectly elastic.

8. Which of the following is true for a monopolist that engages in perfect price discrimination?

(A) The firm sells the profit-maximizing quantity of the regular monopolist but charges each consumer a price higher than the regular monopoly price.

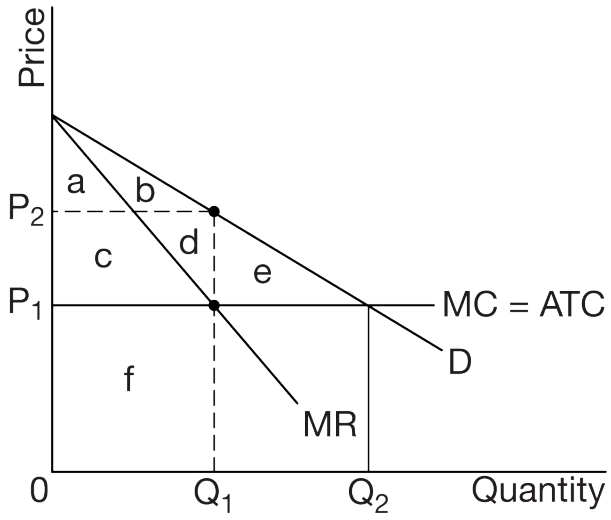
(B) There is more consumer surplus than exists with a regular monopoly.

(C) The monopolist further restricts output compared to the regular monopoly, creating greater deadweight loss.

(D) The monopolist sells the allocatively efficient quantity of output.

(E) The monopolist no longer faces a downward-sloping demand curve, becoming a price taker.

4.3 price discrimination



The graph shows the cost and revenue curves for a profit-maximizing monopolist that produces teddy bears. The letters in the graph represent the enclosed areas.

9. If the monopolist engages in perfect price discrimination, which of the following will happen?

(A) Consumer surplus will remain the same $(a + b)$ and producer surplus will increase by area (e).

(B) Both consumer surplus and producer surplus will decrease by area $(a + b + c + d)$, and the deadweight loss will remain constant.

(C) Consumer surplus will increase by area (e), producer surplus will decrease by area (e), and the deadweight loss will be zero.

(D) Consumer surplus and deadweight loss will be zero because all economic surplus will be transferred to producer surplus.

(E) Both consumer surplus and producer surplus will increase because output produced will increase to Q_2.

10. If the monopolist charges a single price for teddy bears, which of the following describes an accurate outcome?

(A) The consumer surplus equals area (a), the producer surplus equals area (c), and the deadweight loss equals area $(b + d + e)$.

(B) The consumer surplus equals area (b), the producer surplus equals area $(c + d)$, and the deadweight loss equals area $(d + e)$.

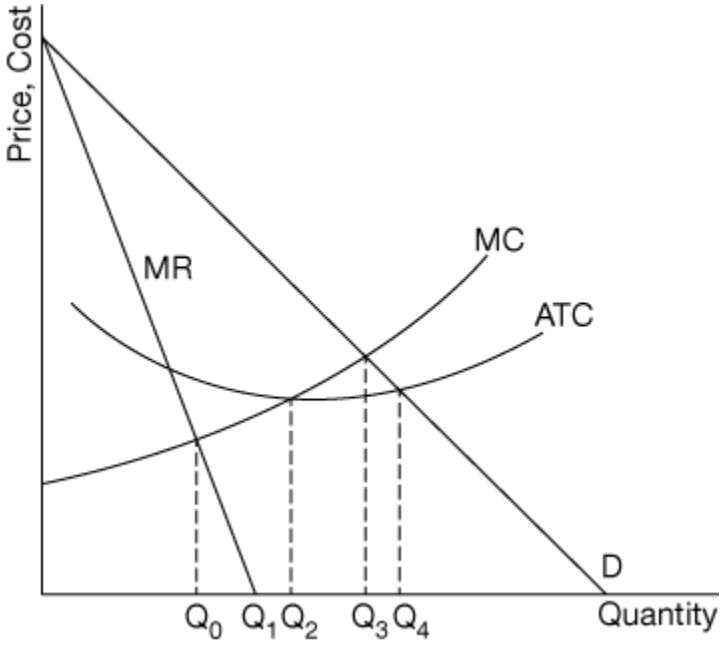
(C) The consumer surplus equals area $(a + b)$, the producer surplus equals area (c), and the deadweight loss equals area $(e + f)$.

(D) Consumer surplus equals area $(a + b)$, producer surplus equals area $(c + d)$, and deadweight loss equals area (e).

(E) The consumer surplus equals area (a), the producer surplus equals area $(c + f)$, and the deadweight loss equals area $(b + d + e)$.

4.3 price discrimination

11.



The graph above shows the demand (D), marginal revenue (MR), marginal cost (MC), and average total cost (ATC) curves for a monopoly. Based on the information in the graph provided, what is the profit-maximizing quantity for a monopolist that engages in perfect price discrimination?

(A) Q_0
(B) Q_1
(C) Q_2
(D) Q_3
(E) Q_4

12.

Price ($)	Quantity Demanded
1	9
2	8
3	7
4	6
5	5
6	4
7	3
8	2
9	1

A profit-maximizing monopolist faces the market demand schedule provided and has a constant marginal cost of $\$5$. If the monopolist engages in perfect price discrimination, its total revenue will equal which of the following?

4.3 price discrimination

(A) $10
(B) $15
(C) $25
(D) $35
(E) $45

13. Which of the following enables a seller to capture the entire consumer surplus in a market?

(A) Perfect price discrimination
(B) Perfect competition
(C) An excise tax on buyers
(D) Effective price ceiling
(E) Effective price floor

14. Assume a profit-maximizing monopolist is able to price discriminate, dividing its consumers into two distinct groups charging each a different price. Based on this information, which of the following is true?

(A) The monopolist would earn greater profit charging each consumer the same price, not charging two different prices.
(B) The price discrimination can only be successful if one group can resell the product but the other group cannot.
(C) The group with the more elastic demand will pay the lower price.
(D) The consumers with less willingness to pay will pay the higher price.
(E) The group with greater production costs will pay a lower price.

15. A firm with market power engages in price discrimination in order to

(A) cover the cost of serving each consumer
(B) increase its profits
(C) charge a lower price
(D) produce the allocatively efficient quantity
(E) increase consumer surplus

16. If a monopolist can increase output and profit by engaging in perfect price discrimination, allocative efficiency will

(A) improve even though consumer surplus goes to zero
(B) possibly improve or get worse depending on whether consumer surplus increases or decreases
(C) possibly improve or get worse depending on whether consumer surplus increases by more or less than the increase in producer surplus
(D) get worse because producer surplus increases by more than the increase in consumer surplus
(E) be unchanged because although producer surplus increases, total surplus is unaffected

17. Price discrimination occurs when

(A) the supply of the product is elastic
(B) a product's average cost is greater than its average revenue
(C) a product's average cost is less than its average revenue
(D) differences in a product's price reflect differences in marginal costs
(E) differences in a product's price do not reflect differences in costs of production

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18. A firm with market power sells its product in two markets. The firm faces the same cost curves in both markets but faces a relatively elastic demand in one market for its product and a relatively inelastic demand in the other market for that same product. Which of the following will increase the firm's profits?

(A) The firm charges a lower price in both markets.

(B) The firm charges a higher price in both markets.

(C) The firm charges a price equal to its marginal cost in both markets.

(D) The firm charges a lower price in the market with elastic demand and a higher price in the market with inelastic demand.

(E) The firm charges a lower price in the market with inelastic demand and a higher price in the market with elastic demand.

19. Which of the following is a necessary condition for price discrimination?

(A) Resale of the product or service is possible.

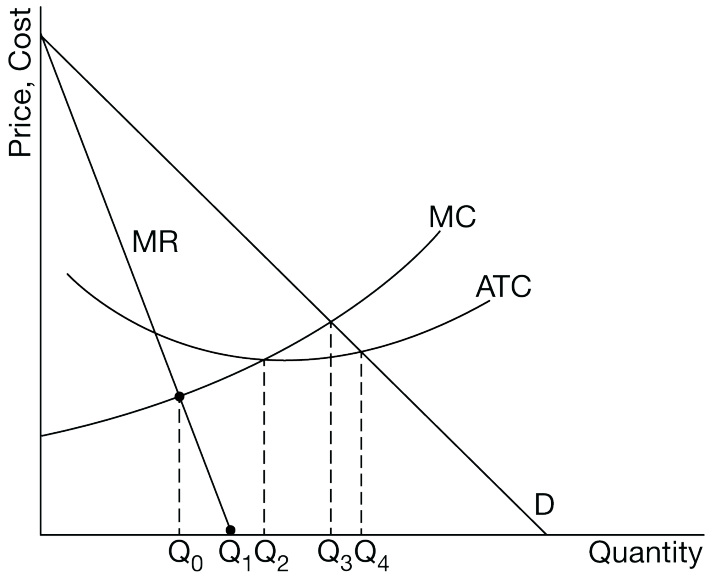
(B) Buyers have identical elasticities of demand.

(C) The seller can separate consumers according to their elasticities of demand.

(D) The seller is a perfectly competitive firm.

(E) Buyers are aware of prices charged to other buyers.

20.



Based on the information in the graph above, what are the profit-maximizing output quantities for a single-price monopolist and for a monopolist that engages in perfect price discrimination?

(A) For a single-price monopolist, Q_0. With perfect price discrimination, Q_1.

(B) For a single-price monopolist, Q_0. With perfect price discrimination, Q_3.

(C) For a single-price monopolist, Q_1. With perfect price discrimination, Q_3.

(D) For a single-price monopolist, Q_2. With perfect price discrimination, Q_4.

(E) For a single-price monopolist, Q_0. With perfect price discrimination, Q_4.